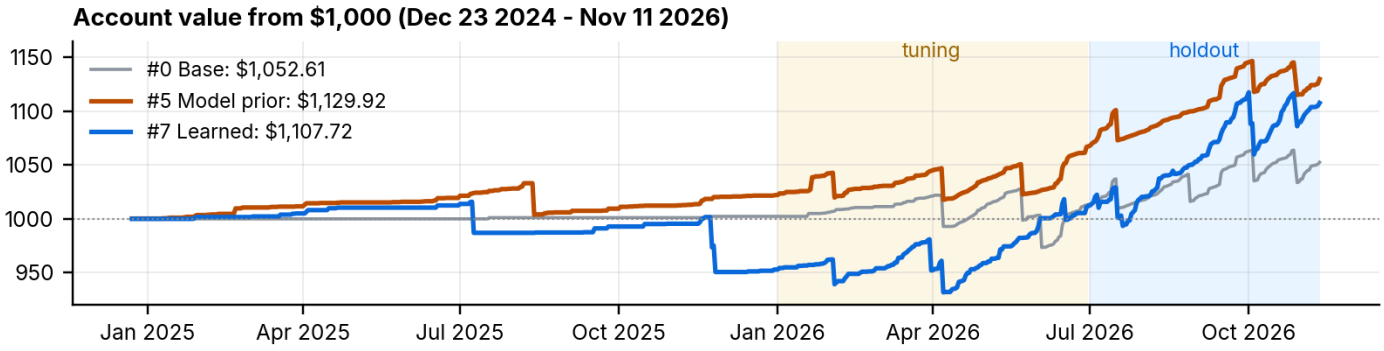
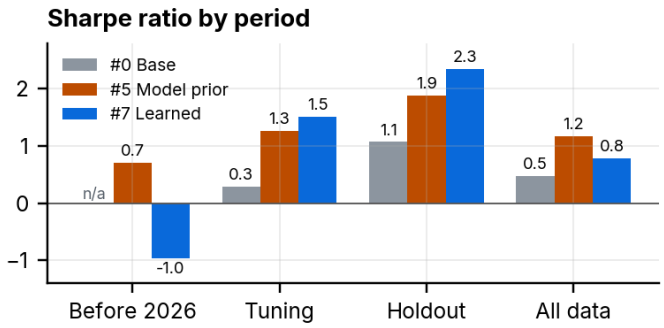
TAMID QUANT — STRATEGY COMPARISON

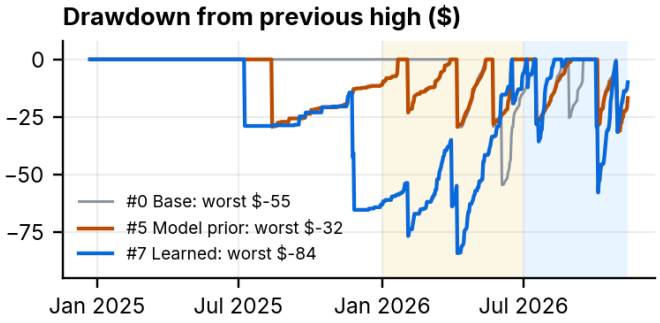
Kalshi BTC Tail Strategy: Model #5 (Model Prior) vs Model #7 (Learned)

Date: November 2026 | Presenter: Marcos Garay

*Two refinements of the Kalshi BTC tail strategy beat the base in both the tuning period (Jan to Jun 2026) and the holdout (Jul 1 to Nov 11, 2026). Both bring a volatility model into the estimate of each contract's chance of YES. **#5** pulls past outcomes toward the model's probability; **#7** learns a formula from past outcomes. Both size each day so the worst BTC settlement loses at most 3% of a $1,000 bankroll.*







Side by Side (all data: Dec 23 2024 to Nov 11 2026)

	#0 Base	#5 Model prior	#7 Learned
How it estimates the odds	YES rate per price range, pulled to market price	YES rate per price range, pulled to model probability	Logistic regression: price, model, horizon
Profit on $1,000, all data	+$52.61	**+$129.92**	+$107.72
Sharpe, all data [95% CI]	0.47 [−0.84, 2.72]	**1.17** [−0.26, 3.59]	0.78 [−0.61, 2.79]
Sharpe minus base [95% CI]	-	+0.69 [−0.61, +2.17]	+0.31 [−1.59, +1.98]
Sharpe: tuning / holdout	0.29 / 1.07	1.26 / 1.88	1.51 / **2.34**
Before 2026	2 trades, +$2	+$22 (1 tail day)	−$47 (3 tail days)
Max drawdown / lowest balance	−$54.54 / $973	**−$31.54 / $1,000**	−$84.15 / $932
Tail days (loss over $15)	7	7	11
Trades (days traded)	402 (237)	523 (332)	329 (237)
Profit per contract	0.47c	0.86c	**1.11c**
Average winning / losing trade	+$0.66 / −$29.11	+$0.65 / −$28.39	+$1.41 / −$23.72
Days past the 3% cap (worst)	24 (3.14%)	31 (3.17%)	77 (3.17%)

Verdict

- **#5 is steadier.** It made money in every period, never fell below $1,000 and has the smallest drawdown. It also traded profitably in 2025, when the base could not trade
- **#7 earns more per trade** (1.11c vs 0.86c) and won the holdout, but its edge appeared only in 2026. It lost $47 before that, has the deepest drawdown and breached the cap most often
- **Neither is proven.** Every Sharpe difference from the base has a confidence interval that includes zero. Both need checking on data after Nov 11, 2026
- **Recommendation:** lead with #5 (simpler and more robust) and track #7 alongside it as a challenger